

good scenario, 4-6 months unless they are one of those hedge funds which can turn around at a blistering speed. An equity term sheet is much more complicated than a debt term sheet. At a high level, all debt documents look 70-80 per cent similar. The language might be different, but the concepts remain the same. Everyone knows how the transaction documents look. That's why it is much faster than an equity transaction," says Ankur Bansal, Co-founder and Director of BlackSoil, a company which does deals with and without an equity kicker. It lends through an NBFC as well as a venture debt fund.

VENTURE debt stands to gain if equity becomes more expensive on account of a potential correction in the funding market. When equity slows down, good companies that need to raise capital may rethink their strategy and raise debt instead.

"In the near term, if there is a correction and equity financing becomes more expensive, it naturally creates room for more debt. Obviously, debt providers will have to be that much discerning and disciplined about the exposure they may want to take. There is a lot of headroom in the debt business that still needs to be serviced," says Khanna.

Debt deployments are set to grow leaps and bounds this year as companies that are not doing well would need more growth capital while well-performing firms would need to replenish their war chest to maintain the growth momentum. Also, more and more growth-stage founders are expected to make debt a part of their funding rounds to balance out dilution.

However, not everyone needs to have a term loan. Debt providers are also exploring differentiated products or strategies. Use-cases are fast



**WE SHOWED THAT
THIS [VENTURE DEBT]
IS NOT SO RISKY
AND IT CAN GIVE
YOU PREDICTABLE
RETURNS. IT
BASICALLY GOT MORE
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ABOUT THIS ASSET
CLASS FROM THE
SUPPLY SIDE**

VINOD MURALI

CO-FOUNDER & MANAGING PARTNER,
ALTERIA CAPITAL

expanding from the realm of working capital management, runway extension or dilution optimisation to acquisition financing, receivables financing as well as order book discounting, says Vivek Soni, Partner and National Leader of Private Equity Services at EY India. "Going forward, new focus areas could include onward lending and creative solutions to fund capex or project financing."

"At Stride, we have done close to eight-nine different transaction structures depending on what business we are investing [in] and what type. You have to make it founder-friendly today. Beyond helping reduce dilution, every founder and investor wants to know how useful a debt round can be for the growth of a business. They [venture debt firms] have to become partners rather than a provider of loans who collects interest at the end of the month," says Stride's Gandhi.

According to the Stride survey mentioned earlier, 100 per cent founders of growth stage companies are certain of raising venture debt in 2022. "In our view, the outlook for venture debt as an asset class is very good, both in the short- and medium-term," says EY's Soni. "While we have seen significant growth in both demand and supply, the reality is that the market opportunity for venture debt is significantly larger than what is currently being serviced. This asset class will grow faster as awareness increases and start-up founders begin to discover a better understanding of this product. As of now, there are a handful of firms that are in the venture debt asset class and over the next 3-4 years, we expect that number to increase significantly."

If the growing trust of investors and acceptance of entrepreneurs are anything to go by, venture debt has well and truly arrived. **BT**

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